

Powerlong Commercial Management 9909

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by

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			2026	2027
Price:	2.09	EPS	0	0
Shares Out. (in M):	643	P/E	4	0
Market Cap (in \$M):	170	P/FCF	3.3	0
Net Debt (in \$M):	-660	EBIT	0	0
TEV (in \$M):	-490	TEV/EBIT	0	0

Description

Healthy crown jewel captive subsidiary of defaulted developer, trading at 25% of net cash (w/ stable 30% FCF yield), finally emerging from its parent's creditor restructuring process with improved economic alignment between controlling shareholder and minorities.

Introduction

Powerlong Commercial Management ('PLCM', 9909) is a debt free, asset light mall operator in China, with a net cash position of RMB4.5bn (\$660m), 3.9x larger than its mkt cap of RMB1.15bn (\$170m). Despite the severe downturn in the Chinese real estate market, the business has remained stable, profitable and FCF generative, with FY25 FCF RMB350m (~\$50m), a ~30% yield against mkt cap.

The extreme valuation discount is attributed to the business' entanglement with Powerlong Real Estate ('PLRE', 1238), its highly leveraged parent property developer who until recently held a controlling 63% direct stake. Since PLRE first ran into liquidity pressure in 2022, the market has been concerned the common controlling family shareholder between both entities would be incentivised to transfer value from healthy Mgmt Co pocket B, to troubled Dev Co pocket A, at the expense of PLCM's minority shareholders. Such transfers are not uncommon occurrences in the now familiar troubled Dev Co / healthy Mgmt Co dynamic that has sprung up across China.

The why now is that this situation is finally being unlocked. PLRE offshore creditors have, after 3 years of negotiations, voted through a proposed 'holistic solution' restructuring, sanctioned by the court in June 2026 and expected to be completed by 30th September. The scheme will cut PLRE's stake in PLCM down from 63% to 5%, with 32pts transferred to PLRE bondholders and 25pts purchased directly by the founding family at current market pricing. Post completion PLCM will be free to resume capital distributions which were paused during PLRE's restructuring process. All told, PLCM looks to be emerging as a healthy unencumbered asset, with improved shareholder alignment between minorities and controlling family. With mkt cap at 25% of net cash, PLCM still prices in acute distress and minority abuse. A caution on timing here - it's reasonable to expect a wall of technical selling pressure on PLCM when the bond holders receive their 32% stake. Of all the property Mgmt Cos out there in China, PLCM is close to if not the cheapest, belying its impending governance reset and likely resumed capital distributions.

Background on property mgmt in China

Rewind 10 years, Chinese property developers typically also housed and ran property mgmt businesses that serviced the buildings after they were built and inhabited. Property mgmt services typically include management, maintenance, cleaning, security etc of the buildings, which tends to be sticky recurring fee driven businesses to which the public markets typically ascribe a higher multiple. As a consequence, many developers spun out their mgmt companies to capture the higher multiple on the services income and increase equity value for shareholders.

Then came the 2022 market downturn and the fall of developers around China, many of whom had relied on excessive leverage and didn't have the balance sheet headroom to survive. Intriguingly, if you look at the market values of the associated mgmt cos, despite as a business class they tended to be net cash balance sheets and recurring businesses, they largely traded off in line with their associated Dev Co, attributed to pipeline collapse, parent receivable collection issues but perhaps most of all, to governance risks. Specifically on governance, where there is a single controlling family or shareholder, the concern is the incentive for mgmt to transfer cash to the troubled dev Co to ease liquidity pressures. This concern wasn't purely theoretical - numerous examples of this were seen in China over the past few years. In Powerlong's case, this was attempted in May 2022, when PLCM announced on the 12th the acquisition of a 24 storey office building from PLRE parent for RMB870m (\$130m). The deal was interpreted as a cash infusion mechanism for PLRE and PLCM's shares fell 25% on the day. The company abandoned the deal 25 days later and hasn't attempted another such deal since.

PLCM (9909) business model

PLCM is an asset light property mgmt business, with ~80% revenue from commercial management and 20% from residential property mgmt. On the commercial side, the majority of the business is focused on operating powerlong branded shopping malls developed and retained by its parent PLRE. PLRE's model is to develop a mall, often with surrounding or integrated residential &/or office space, retain the branded shopping mall on balance sheet to let out, while typically selling the resi & office space. While the malls are typically retained by PLRE, most of PLCM's revenue comes directly from third party tenants (corporations leasing space in the malls). The tenant would have a contract with PLRE as the landlord and a separate contract with PLCM for property management services. For the ~70 malls under PLRE

ownership (of PLCM's 96 active projects), PLCM's role as service provider is effectively locked in.

PLCM's commercial business and unit economics

Occupancy rate is the KPI that drives PLCM's gross margins and thus profits. For a typical powerlong mall at maturity, if occupancy runs at 90%, IR shared this translates to ~40% project GPM. As a rule of thumb at 90% occupancy PLCM say they would generate ~60% of project revenues from property management service revenue, ~30% from other value add services (eg car parking lots mgmt, common area mgmt and advertising space) and ~10% from rental commission revenue paid by PLRE (matching the 9-10% related party revenue in table below). NB this rental commission is typically 5% of the total rent, with PLRE retaining ~95%. The occupancy level where project gross margins break even for a mall is thought to be ~80%, where the drop in value add service revenues is the main culprit for declining profitability.

Occupancy rate

Broadly stable at a healthy >90% level. Backing into commercial revenues per unit contracted mall space also looks stable.

Financials		Dec-20A	Dec-21A	Dec-22A	Dec-23A	Dec-24A	Dec-25A
		12m/e	12m/e	12m/e	12m/e	12m/e	12m/e
Powerlong One Mall	%	96.5%	99.1%	98.5%	98.9%	99.1%	99.1%
Powerlong City	%	91.6%	100.0%	98.4%	97.7%	97.8%	97.6%
Powerlong Plaza	%	89.9%	95.0%	92.2%	90.6%	90.9%	91.0%
Powerlong Land	%	87.5%	94.3%	92.5%	90.7%	90.7%	90.2%
Powerlong Xinghui	%	88.1%	94.9%	92.3%	91.8%	93.0%	92.0%
Total	%	89.9%	95.3%	92.6%	91.2%	91.5%	91.5%
Powerlong One Mall	m m^2		0.17	0.17	0.17	0.17	0.17
Powerlong City	m m^2		0.45	0.57	0.57	0.57	0.60
Powerlong Plaza	m m^2		8.17	8.45	8.76	8.91	8.99
Powerlong Land	m m^2		0.40	0.42	0.55	0.61	0.56
Powerlong Xinghui	m m^2		0.74	0.94	0.72	0.80	0.78
Total	m m^2	8.57	9.93	10.55	10.77	11.07	11.09
Commercial revenues per m^2 contracted	RMB / m^2	182	203	195	198	193	189

Segment sales and gross profit breakdown

Financials		Dec-20A	Dec-21A	Dec-22A	Dec-23A	Dec-24A	Dec-25A
		12m/e	12m/e	12m/e	12m/e	12m/e	12m/e
Commercial property lease income	RMBm	181	196	145	177	206	200
Mkt research, positioning, tenant sourcing, opening	RMBm	215	292	178	100	70	54
Commercial operation service during the operatic	RMBm	370	603	693	742	716	692
Commercial property management service	RMBm	797	926	1,043	1,118	1,147	1,152
Commercial operation and management services	RMBm	1,167	1,529	1,736	1,861	1,863	1,844
Commercial operational services	RMBm	1,381	1,821	1,914	1,961	1,934	1,899
Pre-sale management services	RMBm	15	53	25	9	1	1
Property management services	RMBm	271	298	368	376	379	409
Other value-added services	RMBm	72	96	97	113	97	98
Residential property management services	RMBm	358	447	491	498	477	508
Group sales	RMBm	1,921	2,464	2,549	2,636	2,617	2,608
Pasted values		1,921	2,464	2,549	2,636	2,617	2,608
External third party customers	RMBm	1,592	1,962	2,071	2,243	2,361	2,373
Fellow subsidiaries	RMBm	247	437	440	368	231	223
Other related parties	RMBm	82	65	39	25	26	12
Total sales	RMBm	1,921	2,464	2,549	2,636	2,617	2,608
Third party mix	%	83%	80%	81%	85%	90%	91%
Commercial	RMBm	1,563	2,017	2,058	2,137	2,140	2,099
Residential	RMBm	358	447	491	498	477	508
Sales	RMBm	1,921	2,464	2,549	2,636	2,617	2,608
Commercial	RMBm	512	711	711	761	729	702
Residential	RMBm	83	111	124	126	105	111
Gross profit	RMBm	595	822	834	887	834	814
Commercial	%	33%	35%	35%	36%	34%	33%
Residential	%	23%	25%	25%	25%	22%	22%
Gross profit margin	%	31%	33%	33%	34%	32%	31%

Free cash flow

While some residential property management companies have struggled to collect on their receivables, the cash collection and FCF profile of PLCM has been strong. FCF has exceeded net income largely due to non-cash related party receivable impairments running through the P&L.

Total related party receivables as of FY25 are RMB311m, 7% of cash balance.

Financials		Dec-20A	Dec-21A	Dec-22A	Dec-23A	Dec-24A	Dec-25A
		12m/e	12m/e	12m/e	12m/e	12m/e	12m/e
CFO	RMBm	795	971	287	487	367	425
Lease payments in CFF	RMBm	(162)	(169)	(74)	(75)	(121)	(71)
Capex	RMBm	(9)	(11)	(5)	(44)	(11)	(4)
FCF	RMBm	624	790	208	368	234	350
% operating profit		144%	135%	34%	62%	68%	110%
% net income		205%	180%	47%	81%	108%	150%

Parent PLRE (1238) restructuring process

After 3 years of negotiations and false starts, on 12th May 2026, 89% of the participating 96% of bond holders by value, voted in favour of the proposed scheme to restructure ~RMB15bn of offshore debt. This was sanctioned by the HK courts on 22nd June 2026, at which point the scheme itself became effective. The restructuring is now pending regulatory approval to complete, with the backstop date for the restructuring to be declared effective (distinct from scheme effective date) set at 30th Sep 2026, at which point shares are distributed and bonds cancelled.

Participating offshore bond holders were presented with a menu of options to choose from, including i) cash (capped at \$40m), ii) PLCM shares at HKD15/sh (~7x current 9909 share price), capped at 208.2996m shares or 32% of PLCM (to be allocated from PLRE's initial 63% stake – these are not new primary shares), iii) mandatory convertible bonds in PLRE (conversion price HKD 2.3/sh, ~12x current 1238 share price), iv) other new notes in PLRE.

In conjunction with this restructuring, in Jan 2026 the founding and controlling family also agreed to purchase (via an SPV called 'Prime Capital') a direct 25% stake in PLCM from PLRE, at the market price of HKD2.245/sh.

Conclusion being PLRE's stake in PLCM is falling from 63% to 5%, with 32pts of the drop allocated to PLRE creditors and 25pts allocated to founding family new direct stake in PLCM.

Investment thesis & set up for PLCM (9909)

The crux of the thesis here is that upon completion of the restructuring in September, PLCM converts from being the captive subsidiary of a defaulted developer into an unencumbered, highly cash generative business with better aligned shareholders and improved governance. Property developers and their associated Mgmt Co's have generally been left for dead in the public markets. Where there have been governance concerns, PLCM like many property Mgmt Cos was perceived to be contaminated with its associated developer troubles and thus unownable at any price. We are now approaching a hard restructuring catalyst that goes some way to break the link and set PLCM free. With the shares tracking sideways to down through the course of the positive restructuring developments this year, the market appears to be sleeping on these significant improvements. It's also possible the market is shying away from the expected heavy overhang on the stock – my view would be at 25% of cash and 30% FCF yield, you're getting handsomely paid to stand in front of it, and see the overhang as an opportunity to increase position at an even greater discount in the future.

Concretely, two things change post-restructuring:

1 Capital distributions may resume

PLCM's dividend was formally required to pause during PLRE's restructuring – they will be free to reinstate this. The IPO prospectus promised >30% PoR, while historically pre div pause in 2023, the div PoR ranged from 40-60%. 50% of normalised net income (matching FCF) would be ~RMB175m or ~15% div yield. The best case scenario here is the company pursues share repurchases. These would of course be wildly accretive with mkt cap 25% of net cash, but hard to tell from my limited interactions with IR what the true intentions are.

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2 Founding family economic incentive flips from PLRE to PLCM

Pre restructuring

- Family interest in PLRE: 66%
- Family interest in PLCM: 44% (look through basis including Hoi Wa Fong direct 3% stake + 41% indirect family share of PLCM 63% stake, ie $66\% \times 63\% = 41\%$)

Post restructuring

- Family interest in PLRE: ~33% (expect PLRE share count to roughly double as a consequence of the mandatory convertible bonds converting in 18m)
- Family interest in PLCM: ~32% (look through basis including Hoi Wa Fong direct 3% stake + family direct 25% stake + indirect family share of PLCM's residual 5.6% stake)

Beyond the family stakes being reweighted towards PLCM, the overall equity value of PLCM exceeds PLRE. PLRE will remain a highly indebted developer with questionable equity value given the onshore debt balance of RMB40bn is still in an extend and pretend cycle. PLCM meanwhile remains the stable cash cow of the group – even at 25% of net cash its market cap exceeds PLRE today. The combination of the above implies the family is no longer incentivised to move cash or value from Mgmt Co to Dev Co – arguably it is now the opposite.

Risks - what can go wrong

Bond holder selling pressure - High

I would expect the most likely action of the majority of bond holders is to sell the PLCM shares they receive – they are bond investors here for a recovery play on the debt, not equity investors taking a view on a subsidiary. Given we're talking about 32% of the shares placed in their hands, we could see a wall of selling pressure that takes the stock down from here. Arguably this overhang is one of the contributing reasons the PLCM shares have not yet rerated despite the impending release from 1238's grip. This risk is mitigated with waiting to fully size up here until we see the selling pressure hit the market.

Cash trapped onshore - Moderate

This restriction is hard to assess outside in, but has been floated as a possible impediment to large scale share repurchases.

Inadequate capital allocation - Moderate

It's possible the company doesn't reinstate the div. FWIW IR until mid this year had always indicated to me the plan would be to resume dividends (and possibly pay a dividend catch up for the paused divs through '24-'26), however over recent months she has been more evasive and less clear on the future plan. Why I'm not sure. I got the impression all options are on the table and the board was either yet to make a decision, or hadn't communicated the plan to her. IR had also in the past talked about allocating some of the cash pile to M&A – either acquiring buildings to let or other asset light property management businesses. While generally speaking spending the cash pile on acquisitions of any kind is generally not desirable, here there is no value ascribed to the cash anyway – if the acquisitions add earnings power to the group, that could end up a positive vs the current washed out price.

PLRE sells malls off in future - Low

PLRE's primary asset base is its RMB75bn malls on balance sheet, and the main reason I believe they've been able to kick the can on their ~RMB40bn onshore debt. The primary strategy remains to own and let the malls, but it's possible future liquidity / creditor pressure requires malls to be sold to free up capital. This would be negative for PLCM as the probability of retaining the property mgmt contract for the mall would fall. In practise this risk would only play out over time and mall by mall – it's not a material risk today and is somewhat insulated by the price paid.

Related party abuses of minorities - Low

It's still possible the founding family find some way to syphon value out of PLCM to themselves directly, instead of shared between all shareholders. In theory achievable via related party service co arrangements. I think it's both unlikely in absolute terms and less likely than the past due to the shareholding realignment, but still possible.

PLRE renegotiates terms with PLCM - Low

Given the controlling family is now more aligned to PLCM than prior, I don't expect the terms for PLCM to deteriorate, and if anything may improve.

Cash isn't there - Low

There is a chance the cash isn't fully there. While sounding farfetched, talking to industry participants you do hear such stories in this sector. China doesn't have the same controls as the west and it can be possible to play games with depositing cash balances the day before reporting periods, withdrawing the day after, possibly funded by personal loans. In PLCM's case it would be a surprise – we know there is a real commercial mgmt business that operates 96 assets (primarily malls), with a strong cash generative history. We also see the family opting to take fresh capital (\$40m) and opt to purchase a 25% direct stake in the business – strikes me as unlikely they would do that if there is mass fraudulent practise going on here.

Comps

PLCM is the cheapest relative to cash, and close to cheapest relative to FCF, despite the creditor restructuring resolution disentangling PLCM from its troubled dev co in a way that is not true for other similarly distressed priced Mgmt Cos. Table in USD.

Ticker	Name	3MAV	EV	Gross debt	Cash &CE	Net C(D)	Mkt cap	MC/N. Cash	FCF yeild	
									2024	2025
1209 HK equity	China Resources Mixc Lifestyle	23.1	11,120	(317)	813	496	11,583	2,335%	5%	5%
600007 C1 equity	China World Trade Center Co Lt	6.9	2,237	(35)	566	531	2,767	521%	2%	2%
2602 HK equity	Onewo Inc	1.7	1,186	(65)	1,586	1,521	2,588	170%	8%	8%
6098 HK equity	Country Garden Services Holdin	4.7	1,082	(400)	1,882	1,482	2,222	150%	21%	13%
6049 HK equity	Poly Property Services Co Ltd	2.0	460	(15)	1,532	1,518	1,951	129%	16%	13%
2869 HK equity	Greentown Service Group Co Ltd	1.3	997	(70)	831	762	1,651	217%	11%	13%
2669 HK equity	China Overseas Property Holdin	2.4	577	(21)	899	878	1,444	164%	13%	11%
3319 HK equity	A-Living Smart City Services C	0.3	94	(57)	539	481	324	67%	15%	31%
1516 HK equity	Sunac Services Holdings Ltd	0.2	(231)	(14)	571	556	315	57%	6%	(2%)
9909 HK equity	Powerlong Commercial Managemen	0.0	(384)	(87)	641	554	169	31%	29%	35%
873 HK equity	Shimao Services Holdings Ltd	0.0	(52)	(4)	230	226	142	63%	9%	1%
9928 HK equity	Times Neighborhood Holdings Lt	0.0	(79)	(6)	159	153	63	41%	41%	26%
9983 HK equity	Central China New Life Ltd	0.0	14	(9)	59	50	53	106%	(1%)	(153%)
3913 HK equity	KWG Living Group Holdings Ltd	0.0	(40)	(61)	183	122	41	33%	(15%)	83%

Conclusion

I think the skew on this name is attractive. Merely trading to cash value would be 4x its current share price, while it's hard to justify a lower value from here given the incremental positive change coming, other than the heavy expected technical selling pressure from bond holders post distribution. Sizing into that overhang steadily, I think this set-up presents a compelling R/R. Would love to hear from others who have looked at the space, or have push back on the idea.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

30th Sep 2026 backstop date for PLRE restructuring to be deemed effective and complete

Messages

No messages